$$= \frac{3600}{29}$$

$$P_{01} = 124.13\%$$

Price index for the year 2016 when compared to 2015 has been increased by 24.13%.

2. Simple average of price relative method

Under this method, first of all price relatives are obtained for the various items and then average of these relatives is obtained by using either arithmetic mean or geometric mean. Price relative is the price of the current year expressed as the percentage of the price of the base year. The formula for computing Index Number under this method on using Arithmetic mean and Geometric mean are given below.

If N is the member of items, p_1 is the price of the commodity with current year and p_0 is the price of the commodity in the base year then, the average Price Index Number is

(i) $P_{01} = \dfrac{\sum \frac{p_1}{p_0} \times 100}{N}$ (using Arithmetic mean)

(ii) $P_{01} = \text{antilog} \dfrac{\sum \log\left(\frac{p_1}{p_0} \times 100\right)}{N}$ (using Geometric mean)

Advantages of Average Price Index

1. It is not influenced by the extreme prices of items as equal importance is given to all items.
2. Price relatives are pure numbers; therefore the value of the average price relative index is not affected by the units of measurement of commodities included in the calculation of index numbers.

Limitations

1. Equal weights are assigned to every commodity included in the index. Each price relatives is given equal importance, but in actual practice, it is not true.
2. Arithmetic mean is very often used to calculate the average price relatives, but it has a few disadvantages. The use of geometric mean is difficult to calculate.

Example 6.3

Compute price index number by simple average of price relatives method using arithmetic mean and geometric mean.

Item	Price in 2001 (₹)	Price in 2002 (₹)
A	6	10
B	2	2
C	4	6
D	10	12
E	8	12

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